ii. Second, starting in 2011-12, corporate and infrastructure investment started slowing both as a result of policy bottlenecks as well as the tighter monetary policy.

Unfortunately, even as the economy slowed, it was hit by ***two additional shocks***:

iii. A slowing global economy, weighed down by the crisis in the Euro area and uncertainties about fiscal policy in the United States, and

iv. A weak monsoon, at least in its initial phase.

As growth slowed and government revenues did not keep pace with spending, the **fiscal deficit** threatened to breach the target. With government savings falling, and private savings also shrinking, the current account deficit which is the investment that cannot be financed by domestic savings and has to be financed from abroad also widened. As per the Survey, these are difficult times, but India has navigated such times before, and with good policies it will come through stronger. For the Survey **the way outlies** in –

1. shifting national spending from consumption to investment, removing the bottlenecks to investment, growth, and job creation, in part through structural reforms,
2. combating inflation both through monetary and supply side measures,
3. Reducing the costs for borrowers of raising financing and increasing the opportunities for savers to get strong real investment returns.

Every recent Survey has had a special focus on jobs. Policymakers are usually attentive to short-run economic management issues. But the short run has to be a bridge to the long run. The central long - run question facing India is – ***where will good jobs come from?*** Productive jobs are vital for growth. And a good job is the best form of inclusion. More than half our population depends on *agriculture*, but the experience of other countries suggests that the number of people dependent on agriculture will have to shrink if per capita incomes in agriculture are to go up substantially. While industry is creating jobs, too many such jobs are low-productivity informal and non-regular jobs in the unorganised sector, offering low incomes, little protection or benefits. Services jobs are relatively high productivity, but conditions for faster growth of productive jobs outside of agriculture,